BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of: Sixth Street Enterprises, Inc.	)	Docket No.: 2024C-MMR-T0241-DHS NOTICE OF INTENT TO REVOKE DISPENSARY REGISTRATION CERTIFICATE AND NOTICE OF RIGHT TO REQUEST ADMINISTRATIVE HEARING

I. JURISDICTION

The Arizona Department of Health Services ("Department") is charged by Arizona Revised Statutes, A.R.S. § 36-132(A)(1), with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department ("Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Arizona Medical Marijuana Act ("AMMA"), A.R.S. § 36-2801 *et seq*., was passed in November 2010 and became effective in December 2010. Rules adopted by the Department to implement the AMMA, Arizona Administrative Code ("A.A.C.") R9-17-101 *et seq*., became effective April 14, 2011, as thereafter amended ("Rules"). *See* A.R.S. § 36-2803 (giving the Department rulemaking authority under the AMMA).

The Department was required to adopt Rules "[g]overning nonprofit medical marijuana dispensaries to protect against diversion and theft[,]" including "[m]inimum oversight requirements," "[m]inimum record keeping requirements," and "minimum security requirements." A.R.S. § 36-2803(A)(4); *see also* A.R.S. §§ 36-2804(B)(1)(c), -2806(B) (dispensary must have operating procedures consistent with Rules for oversight, including procedures to ensure accurate

record-keeping and adequate security measures). The AMMA and Rules provisions applicable to this matter include the following:

Under A.R.S. § 36-2804.01(A), "[a] nonprofit medical marijuana dispensary agent…shall be registered with the [D]epartment before volunteering or working at a nonprofit medical marijuana dispensary." *See also* A.A.C. R9-17-310(A)(7)(a), -310(A)(8) (similar).

Under A.R.S. § 36-2806(B), "[t]he operating documents of a registered nonprofit medical marijuana dispensary shall include procedures to oversee the registered nonprofit medical marijuana dispensary and procedures to ensure accurate recordkeeping." Pursuant to subsection (E) of the same section, "[a]ll cultivation of marijuana must take place in an enclosed, locked facility, at a physical address provided to the [D]epartment during the registration process, that can be accessed only by registered nonprofit medical marijuana dispensary agents associated in the registry with the nonprofit medical marijuana dispensary." *See also* A.A.C. R9-17-310(B).

Under A.A.C. R9-17-310(A)(2)(f), "[a] dispensary shall…[d]evelop, document, and implement policies and procedures regarding:

> f. Disposal of medical marijuana or a marijuana product, including:
>
> > i. Destroying a batch of marijuana or a marijuana product that does not meet the requirements in Table 3.1 and documenting the destruction;
> >
> > ii. Submitting marijuana that is not usable marijuana to a local law enforcement agency and documenting the submission; or
> >
> > iii. Otherwise disposing of marijuana or a marijuana product such that the marijuana or marijuana product is unrecognizable or cannot otherwise be used and documenting the method of disposal, the dispensary agent overseeing the disposal, and the date of disposal.

Under A.A.C. R9-17-316(C)(7), "[a] dispensary shall establish and implement an inventory control system for the dispensary's medical marijuana and marijuana products that documents:

7. For disposal of medical marijuana or a marijuana product that is not to be dispensed or used for making a marijuana product:

   a. Description of and reason for the medical marijuana or marijuana product being disposed of including, if applicable:

      i. The number of failed or other unusable plants, and
      ii. The results of laboratory testing;

   b. Date of disposal;

   c. Method of disposal; and

   d. Name and registry identification number or license number, as applicable, of the dispensary agent or marijuana facility agent responsible for the disposal.

Under A.A.C. R9-17-320(A)(6), "[a] dispensary shall ensure that…[a]ny supplies used in the preparation of marijuana products, including flammable or volatile chemicals, are stored in a manner to avoid a hazardous condition from occurring." Under A.A.C. R9-17-320(B)(3), "[a] dispensary shall ensure that a dispensary agent at the dispensary or the dispensary's cultivation site…[w]ears clean clothing appropriate to assigned tasks."

The Department may revoke a nonprofit medical marijuana dispensary's registration certificate if the dispensary is not in substantial compliance with the AMMA and the Rules. A.R.S. § 36-2816(F). In addition, the Department was required to adopt rules governing the procedures for "suspending or revoking the registration certificate of nonprofit medical marijuana dispensaries that violate [the AMMA] or the [R]ules." A.R.S. § 36-2803(A)(4)(e). Based on this authority, the Department adopted A.A.C. R9-17-322(D), which authorizes the Department to revoke the dispensary registration certificate of a dispensary that:

1. Does not comply with the requirements of the AMMA or the Rules; or

2. Fails to implement the policies and procedures or comply with the statements provided to the Department with the dispensary's application.

II. DISPENSARY REGISTRATION CERTIFICATE HISTORY

Sixth Street Enterprises, Inc. ("Sixth Street") applied for and was awarded a nonprofit medical marijuana dispensary registration certificate (No. 00000014DCHT00564851), effective August 7, 2012 ("Certificate"). Sixth Street has continuously been a nonprofit medical marijuana dispensary since November 2013. The current Certificate was effective August 8, 2022 and has an expiration date of August 7, 2024. Sixth Street's nonprofit medical marijuana dispensary is currently located at 6840 West Grand Ave., Glendale, AZ 85301 ("Dispensary Location"), and Sixth Street's Offsite Dispensary Cultivation site is located at 2155 East 5th Street, Tempe, AZ 85281 ("Cultivation Site").

III. REASONS FOR DEPARTMENT'S INTENT TO REVOKE THE CERTIFICATE

On March 8, 2024, the Department conducted a compliance inspection at the Cultivation Site. During the inspection, Department Compliance Officers ("Compliance Officers") observed violations of AMMA and the Rules, which were noted in a Statement of Deficiencies ("April 2024 SOD") that was subsequently provided to Sixth Street. The April 2024 SOD is attached hereto as Exhibit A and incorporated by reference. Compliance Officers observed the following violations:

A. Violation of A.R.S. § 36-2806(B) and A.A.C. R9-17-310(A)(2)(f)

The Dispensary did not properly dispose of marijuana or marijuana products. A review of the Dispensary's policy for "Inventory Control – Disposal of Unusable Marijuana" revealed that the Cultivation Site did not implement the Dispensary's policy and procedure for the destruction of marijuana. Compliance Officers observed marijuana residue in a plastic bin that was thrown away in the garbage can. The bin did not appear to have been cleaned before being thrown away. The marijuana residue was recognizable and appeared to be usable. The residue was not removed from the bin and destroyed per the Dispensary's policies and procedures.

Compliance Officers also observed FA3 and FA4 throwing extracted marijuana material away in the garbage bin. The facility agents were asked to provide the destruction log for the

marijuana material being thrown away. FA3 reported that they do not document disposals of marijuana material after extraction.

FA5, who was in the C1D1 extraction room, informed the Compliance Officers that once marijuana goes through the extraction process, the material is thrown away but is not documented on a disposal log. FA5 showed the Compliance Officers a sheet that had a batch number, along with the marijuana quantity and the solvent amount used. FA5 confirmed that the leftover material is not logged as destroyed.

FA1 informed the Compliance Officers that the Cultivation Site tells facility agents to throw old bins in the garbage when they break or are not to be used anymore. FA1 acknowledged that the bins are not treated to make the marijuana residue unrecognizable or unusable. FA1 stated that all marijuana material, including extracted material, is supposed to be logged as destroyed on the waste log.

Further, the Compliance Officers observed that the Cultivation Site failed to render marijuana products unrecognizable, or otherwise unusable, in the dumpster. Multiple large trash bags of marijuana products are thrown and mixed with bleach, but the marijuana product is dried out. Compliance Officers observed that there was no odor of bleach upon approach to the dumpster, and the marijuana was dry to the touch. FA3 told Compliance Officers that after disposing of marijuana, the marijuana will no longer be rendered unrecognizable or useless because the sun's heat will dry the product out in the dumpster and the bleach will evaporate it.

B. Violation of A.R.S. § 36-2804.01(A) and A.A.C. R9-17-310(A)(7)

The Dispensary failed to ensure that each Dispensary agent or marijuana facility agent associated with the Dispensary had the applicable registry identification card or marijuana facility agent license in the dispensary agent's or marijuana facility agent's immediate possession.

Compliance Officers observed FA3 at the back of the building next to the dumpster. FA3 and FA4 were observed removing extracted marijuana material from a "sock," placing the material in a lined garbage can, tying the bag, and throwing the material into the dumpster. The process was observed in the unsecured back parking lot.

In an interview, FA3 reported not having their FA card on their person. Similarly, FA3 did not have a phone with the FA card available for review. FA3 walked from the dumpster back area into the rear of the approved licensed area to retrieve their FA card. The valid card was eventually presented to the Compliance Officers.

C. Violation of A.R.S. § 36-2806(E) and A.A.C. R9-17-310(B)

The Dispensary failed to ensure that marijuana was cultivated in an enclosed, locked facility. The Compliance Officers observed that the back-roll-up door to the Cultivation Site was open the entire time of the inspection. Additional video footage from March 7, 2024, the day prior to the inspection, revealed that the roll-up door was also open that day (and no facility agents appeared to be present). Further, marijuana tubs could be observed by people walking or driving past the back of the building. The tubs contained marijuana residue. The Compliance Officers observed FA3 and FA4 carrying extracted material out to the dumpster, removing the extracted material from the filter bag and placing it into a black garbage bag, tying the bag, and throwing it into the dumpster.

D. Violation of A.R.S. § 36-2806(B) and A.A.C. R9-17-316(C)(7)

The Dispensary failed to establish and implement an inventory control system for the Dispensary's medical marijuana and marijuana products that documents the disposal of medical marijuana or a marijuana product that is not to be dispensed or used for making a marijuana product.

A review of the "Daily Waste Tracker" revealed that the Cultivation Site failed to record all of the marijuana or marijuana products that were being disposed of. In the uploaded plant waste

log, the facility only recorded the disposal of plant waste. They do not record waste that is left over after the extraction process has been completed.

Compliance Officers observed FA3 and FA4 throwing extracted marijuana material away in the dumpster. In an interview, FA5 reported that once marijuana goes through the extraction process, the material is thrown away but is not documented on a disposal log. FA5 showed the Compliance Officers a sheet that had a batch number, the marijuana quantity, and the solvent amount used. FA5 reported that the leftover material is not logged as destroyed. In another interview, FA2 confirmed that only plant waste was listed on the waste disposal log. However, FA2 agreed that in the future, they would be documenting both the plant waste and extraction waste in the disposal log.

E. Violation of A.A.C. R9-17-320(A)(6)

The Dispensary failed to ensure that any supplies used in the preparation of marijuana products, including flammable or volatile chemicals, were stored in a manner to avoid a hazardous condition from occurring.

A review of the online blog "C1D1 Booths for Extraction Safety" states, "Class 1 Division 1 ["C1D1"] is a classification for areas where the explosive or flammable gasses, vapors or liquids…can exist under normal, everyday operating conditions." Compliance Officers observed pressurized carbon dioxide (CO_2) tanks, what appeared to be a flammable solvent such as butane or propane, and an industrial container labeled "Extractor710" Alcohol and "DANGER" sitting outdoors behind the Cultivation Site. The back lot is not secured: three gates remained open during the day, and a broken wrought iron fence could allow people to enter after hours. The products left outdoors and accessible are toxic and pose a fire danger.

In an interview, FA5 reported that the Extractor 710 alcohol had been sitting outside for at least 30 days. In an interview, FA1 reported that homeless persons are ran off the property even during the day.

FA5 told Compliance Officers that the C1D1 extraction room is a "loop system" with a vapor sensor and alarm so it is able to push the dangerous fumes out. FA5 informed the Compliance Officers that the sensor has gone off "a few times," and that when the sensor alarm goes off, they step out of the C1D1 extraction room until the hazard no longer exists.

F. Violation of A.A.C. R9-17-320(B)(3)

The Dispensary failed to ensure that a dispensary agent at the Dispensary or the Dispensary's Cultivation Site wore clean clothing appropriate to assigned tasks.

The Compliance Officers observed that FA5, who was working in the C1D1 extraction room extracting marijuana, was wearing street clothing and a facial hair net. FA5 was asked if they have protective clothing to wear while in the C1D1 extraction room. FA5 responded that there is protective clothing; however, it is heavy, and FA5 does not wear it.

FA1 informed the Compliance Officers that the Establishment does have protective clothing for facility agents working in the C1D1 extraction room, referred to by FA1 as a "spark resistor lab coat." FA1 said that the Dispensary allows facility agents to decide if they want to wear it or not because facility agents get hot. FA1 reported that the current guidelines for wearing protective clothing are to be enforced soon.

A review of the policy "Operations – Employee Health & Hygiene," dated December 15, 2023, on page 135 stated that dispensary agents who "are involved in activities that require direct contact with medical marijuana, including processing, packaging, and infusing, shall:

> 2.1.2 Wear intact, single-use nitrile gloves, coats, aprons, gowns, hair nets, or other protective apparel to prevent contamination.

2.1.3. Wear clean clothing appropriate to the assigned task."

Page 134 defines "[p]ersonal protective equipment" as including equipment worn to minimize exposure to hazards that cause serious workplace injuries and illnesses, such as gloves, safety glasses and shoes, earplugs or muffs, hard hats, respirators, or coveralls, vests, and full body suits."

FA5 was also asked if they wear a respirator due to fumes in the C1D1 extraction room. FA5 reported that they do not wear a respirator and that they have not felt ill from chemicals used in the C1D1 extraction room. FA5 reported that the C1D1 extraction room is a "loop system" with a vapor sensor and alarm, so it is able to push the dangerous fumes out. FA5 informed the Compliance Officers that the sensor has gone off "a few times" and that when the sensor alarm goes off, they step out of the C1D1 extraction room until the hazard no longer exists.

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing and pursuant to A.R.S. § 36-2816(F) and A.A.C. R9-17-322(D), the Department intends to revoke Sixth Street's Certificate (No. 00000014DCHT00564851) for failure to comply with the AMMA and the Rules as set forth herein.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice of Intent to Revoke Dispensary Registration Certificate ("Notice"). A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **within thirty (30) calendar days** after this Notice is received. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such request shall be sent to Megan Whitby, Deputy Assistant Director, Public Health Licensing, Arizona Department of Health Services, 150 N. 18th Ave., Suite 410, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING, the Department's revocation of Sixth Street's Certificate (No. 0000014DCHT00564851) **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice,** and the Department's revocation of Sixth Street's Certificate will not be subject to judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 3rd day of July, 2024.

ARIZONA DEPARTMENT OF HEALTH SERVICES

McKenna Baker
Director's Designee

ORIGINAL filed this 3rd day of July, 2024, with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 200
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 3rd day of July, 2024, to:

Touraj Jason Vedadi, Owner
Edwin Gomez, Owner
Jigar Pravin Patel, Owner
Sixth Street Enterprises, Inc.
690 North Cofco Center Court
Phoenix, AZ 85008

Corporation Service Company
Statutory Agent, Sixth Street Enterprises, Inc.
8825 N 23rd Ave., Suite 100
Phoenix, AZ 85021

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 3rd day of July, 2024, to:

Touraj Jason Vedadi, Owner
Edwin Gomez, Owner
Jigar Pravin Patel, Owner
Sixth Street Enterprises, Inc.
690 North Cofco Center Court
Phoenix, AZ 85008

Corporation Service Company
Statutory Agent, Sixth Street Enterprises, Inc.
8825 N 23rd Ave., Suite 100
Phoenix, AZ 85021

Tom Salow, Assistant Director
Megan Whitby, Deputy Assistant Director
Kim Crawford, Bureau Chief
Jason Swank, Deputy Bureau Chief
Darryl McCray, Marijuana Program Compliance Manager
ADHS
150 N. 18th Ave.
Phoenix, AZ 85007

Gregory W. Falls

Matthew Hesketh
Shayna Stuart
Sherman & Howard, LLC
gfalls@shermanhoward.com
mhesketh@shermanhoward.com
sstuart@shermanhoward.com